

SENATE BILL 36

By Campbell

AN ACT to amend Tennessee Code Annotated, Title 67,
Chapter 4, relative to exemption from taxes for
child care agencies.

BE IT ENACTED BY THE GENERAL ASSEMBLY OF THE STATE OF TENNESSEE:

SECTION 1. Tennessee Code Annotated, Section 67-4-708(3)(C), is amended by
adding the following new subdivision:

(xvii) Child care agencies as defined in § 71-3-501.

SECTION 2. Tennessee Code Annotated, Section 67-4-708(3)(C), is amended by
deleting the language "subdivisions (3)(C)(i)-(xvi)" wherever it may appear and substituting
instead "subdivisions (3)(C)(i)-(xvii)".

SECTION 3. Tennessee Code Annotated, Section 67-4-724, is amended by adding the
following new subsection:

(e) Notwithstanding subsections (a) and (b), during the 2024-2025 fiscal year
and subsequent fiscal years, the state must annually allocate and distribute to counties
and municipalities an amount equal to the amount distributed to the counties and
municipalities in the 2023-2024 fiscal year that was derived from taxes collected under
this part for services performed by child care agencies as defined in § 71-3-501.

Notwithstanding § 67-6-103 to the contrary, the distribution required by this subsection
(e) must be made from state sales tax collections prior to distribution under § 67-6-103;
provided, however, that no portion of the revenue derived from the increase in the rate of
sales and use tax from six percent (6%) to seven percent (7%) contained in chapter 856,
§ 4 of the Public Acts of 2002 shall be distributed pursuant to this subsection (e). All

such revenue shall continue to be allocated as provided in chapter 856 of the Public Acts of 2002.

SECTION 4. This act takes effect upon becoming a law, the public welfare requiring it, and applies to tax years ending on or after December 31, 2025.